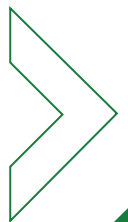




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Saudi Arabia Logistics Industry Report 2021: Industry Forecast



As a part of its Vision 2030 Plan, Saudi Arabia has been actively working to diversify its economy away from oil. With the Kingdom's mega projects directing social and economic reforms the country is opening itself up for logistics networks that support global trade. In its efforts towards this endeavor, last year, Saudi was ranked as one of the world's fastest economic reformers in the World Bank's Ease of Doing Business report.

In recent months, the country has encouraged and supported the world's largest multinationals to build headquarters in the Kingdom to further strengthen its plans on becoming a logistical global hub as well as a portal to the entire GCC.

A review of the Saudi Arabia 2021 budget in the context of recent economic developments shows that the Kingdom is committed to:

- Supporting the domestic economy
- Maintaining fiscal sustainability
- Encouraging private sector development
- Committing to its spending priorities

What's more, the focus on education, healthcare, social development, defense, and infrastructure continues to be among the largest recipients of public expenditure.

This report provides a brief analysis of the logistics industry, highlighting a few key infrastructural investments and developments, as well as the regulatory reforms that are setting the sector up for growth in the next few years.

Key Topics:

1. Executive summary

2. A commitment to growth

2.1 Coping with COVID-19 related disruptions

3. Vision 2030 goals directing logistics infrastructural expansions

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5.1 Improved customs processes

5.2 Reduced handling fees

5.3 Bonded zones

5.4 Digitalized Saber system

5.5 Fasah

The Middle East Is The At The Centre Of The Fast Growing Frade Flows.



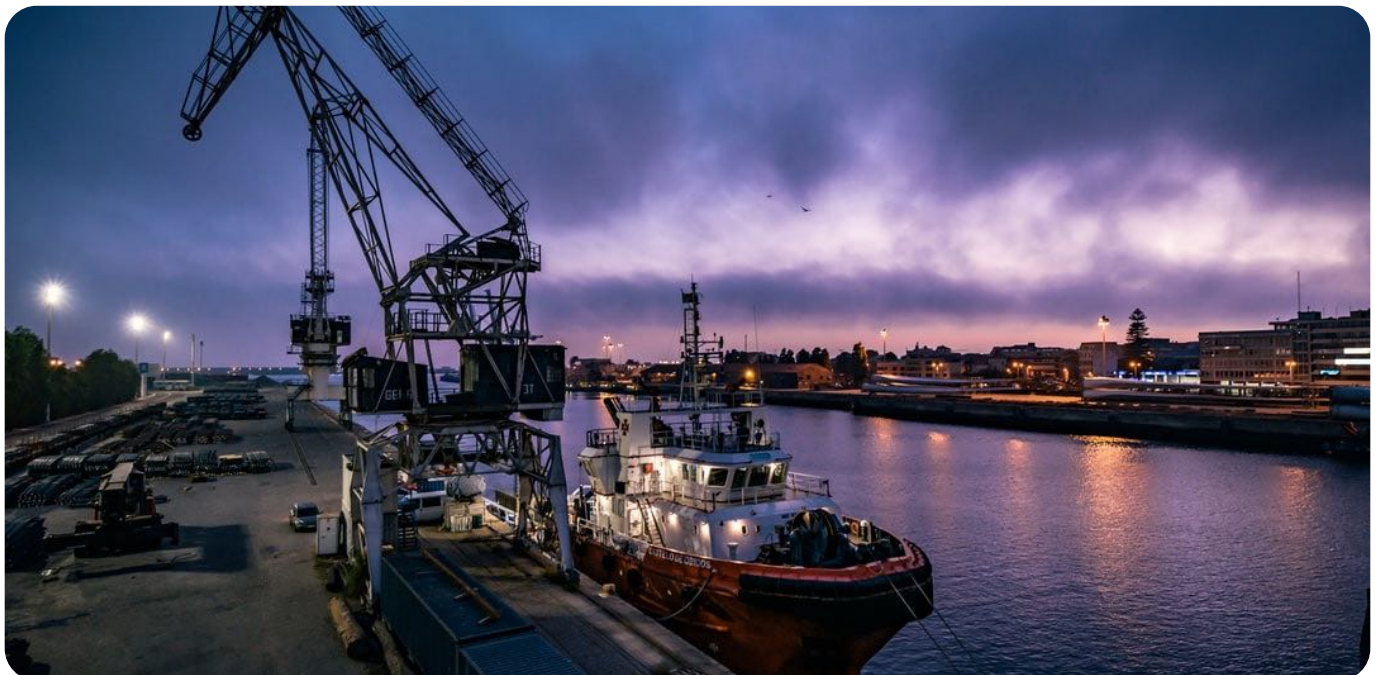
The majority of the awarded contracts during Q3 2020 were in the transportation, power & real estate sectors. The Kingdom's logistics market is currently valued at USD 18 billion, making it the largest among the GCC nations.

1. Executive summary

Saudi Arabia's Vision 2030 plan aims to maximize the benefits that come with the Kingdom's strategic geographical location. Situated at the crossroads of key international trade routes between the continents of Asia, Europe, and Africa, the government is heavily investing in building the country as a strategic logistics hub through large infrastructure ventures and expansions.

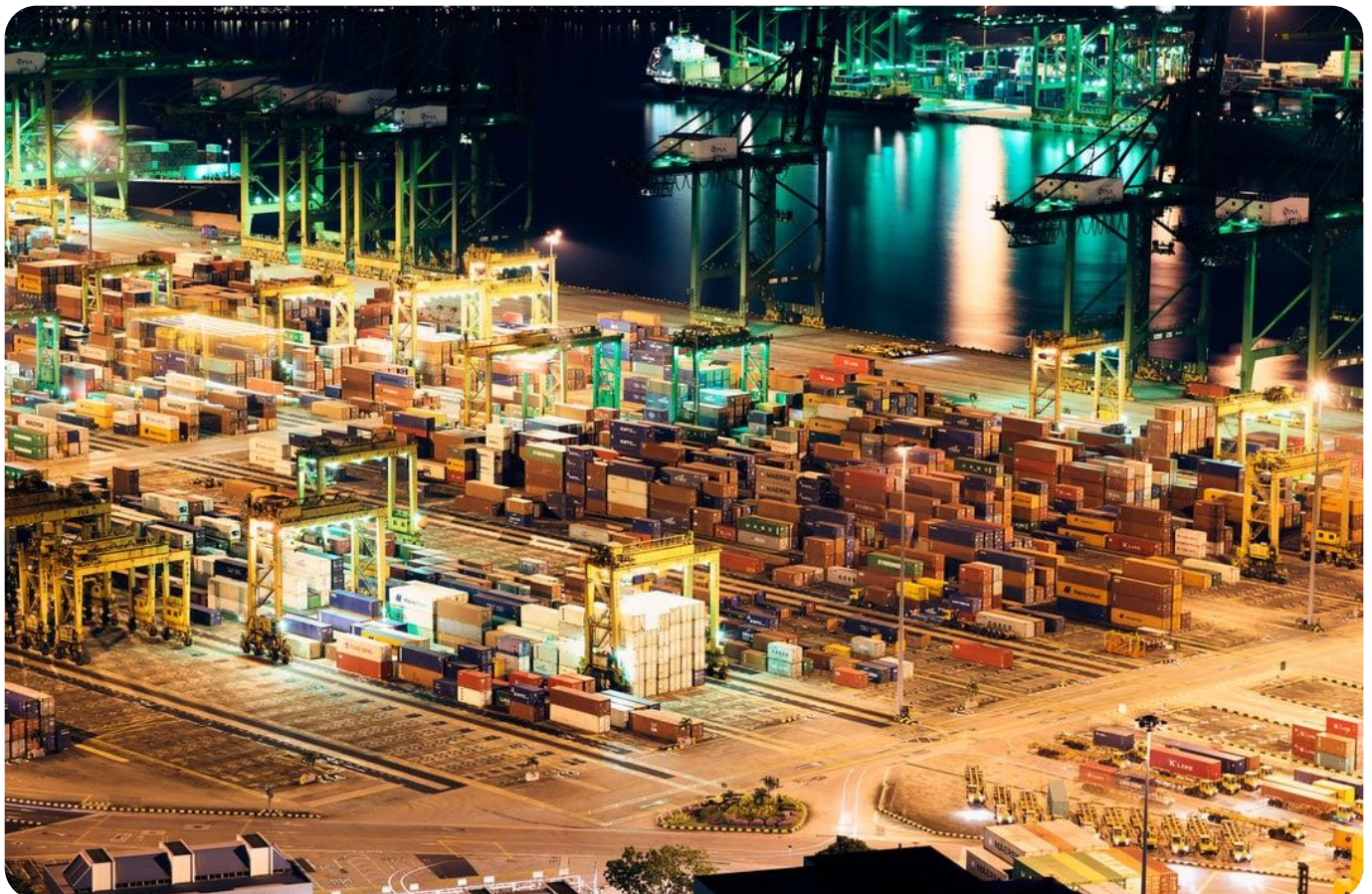
The Kingdom's logistics market is currently valued at USD 18 billion, making it the largest among the GCC nations. It accounts for 55% of the total GCC logistics share and is ranked third-most attractive within emerging markets. It is also one of the fastest-growing logistics sectors globally and was predicted to reach almost USD 25 billion by 2020.

There's no denying that the connectivity, facilities, infrastructure, ports, and developments in the Kingdom make it an attractive logistics base. As the country works its way to becoming a perfect gateway, the Saudi government, customs authorities, and lawmakers are increasingly supportive of the domestic logistics sector. For many local and regional businesses, Saudi can be a springboard into markets outside of the GCC—including countries like Pakistan and territories in South-west Asia.



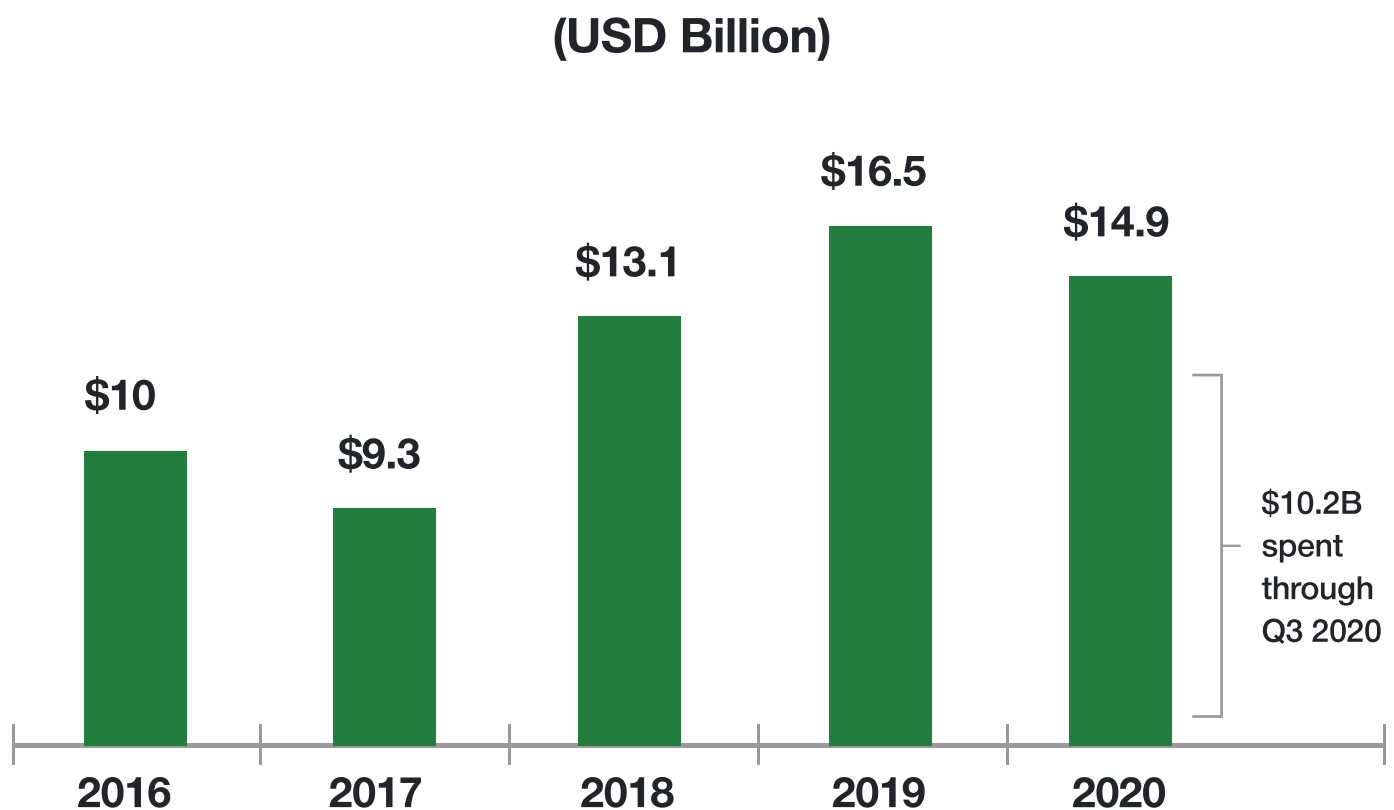
While the COVID-19 pandemic decreased infrastructure spending by 18.9% last year, figures from the US-Saudi Business Council (USSBC) report show that the majority of the awarded contracts during Q3 2020 were in the transportation, power, and real estate sectors. What's more, as the 2021 budget renews its focus on Vision 2030 projects, the Kingdom is facilitating long-term growth by providing reliable infrastructure, quality warehousing, and the necessary licenses and logistics support services to attract both regional and international clientele. This report details developments directing the logistics sector over the next couple of years.

Improvements in logistics are aimed at increasing the value of exports to USD 266.6bn by 2030.



2. A commitment to growth

The Saudi government's budget for infrastructure and transportation has increased significantly since 2017, growing at a compounded annual growth rate (CAGR) of 12.5% through 2020. Despite the pandemic, infrastructure and transportation spending is projected to outdo pre-2019 levels. Take for example Q3 2020, SAR38.4 billion (USD 10.2 billion) has been spent on infrastructure and transportation projects, including the development of more than 2,000 km of new roads and the continued expansion of local airports and seaports. By the end of last year, according to figures from the Ministry of Finance, an estimated SAR56 billion (USD 14.9 billion) had been spent on infrastructure and transportation projects.



The Saudi government's budget for infrastructure and transportation has increased significantly since 2017, growing at a compounded annual growth rate (CAGR) of 12.5% through 2020. Despite the pandemic, infrastructure and transportation spending is projected to outdo pre-2019 levels. Take for example Q3 2020, SAR38.4 billion (USD 10.2 billion) has been spent on infrastructure and transportation projects, including the development of more than 2,000 km of new roads and the continued expansion of local airports and seaports. By the end of last year, according to figures from the Ministry of Finance, an estimated SAR56 billion (USD 14.9 billion) had been spent on infrastructure and transportation projects.

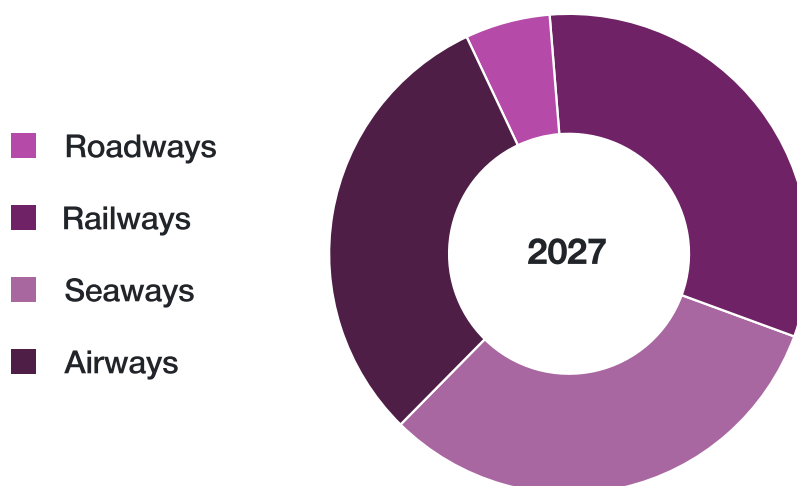
2.1 Coping with COVID-19 related disruptions

Admittedly, the emergence of the global pandemic and fluctuating oil prices forced the government to reassess its infrastructure spending plans—a reassessment that included canceling, extending, or postponing some budgeted OPEX and CAPEX for several government agencies in 2020. Capital expenditures were down 26% YoY through Q3 2020 as various allocations for long-term investment projects in the infrastructure and logistics sectors witnessed delays or cancellations.

However, even amid an economic downturn, Saudi Arabia Ranked sixth on the 2021 Agility Emerging Markets Logistics Index. That's because the GCC remains a dominant region for “business fundamentals” performance, where the UAE, Saudi, and Qatar retain top five rankings. Saudi particularly has been able to draw on sovereign wealth funds (through the PIF) as well as its foreign reserves to inject stimulus into its economy. And while experts predict that it will be at least 2022 before the global economy recovers from the results of the pandemic, Saudi's position at the heart of east-west trade lanes means that the Kingdom will be amongst the first territories to see increased volumes as global trade recovers.

Listed below are the things Saudi is doing that will set it up as a stronger logistics hub in 2021.

Exhibit: Saudi Arabia Third- party logistics Market by Mode of Transportation



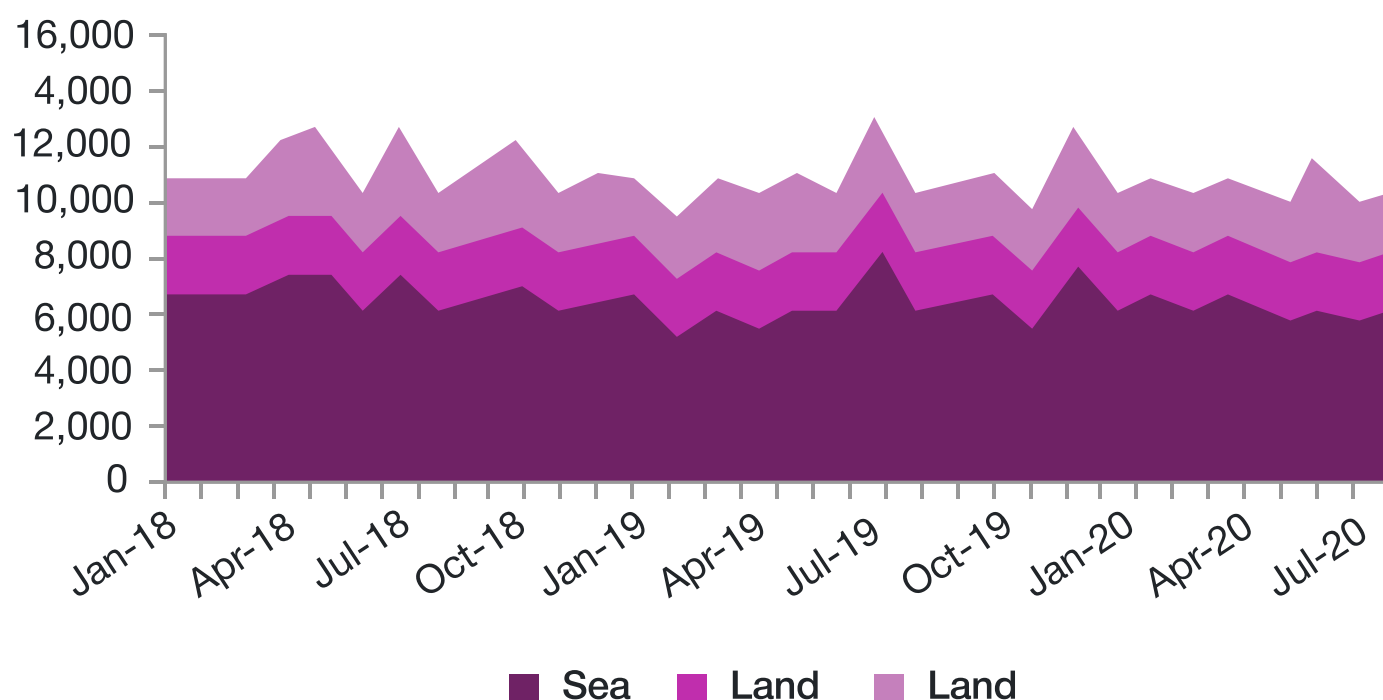
Source: Business Markets Insights

3. Vision 2030 goals directing logistics infrastructural expansions

Saudi Arabia's Vision 2030 Plan aims to develop infrastructure, increase air travel and air freight, streamline port procedures for easier passage of goods, and integrate local and regional rail and road networks.

The transport and logistics sector, particularly, has been targeted for key milestone developments under the Kingdom's ambitious plans. While the COVID-19 pandemic had a profound impact on the economy as well as on awarded projects, the Vision 2030 agendas are guiding aggressive infrastructural growth this year.

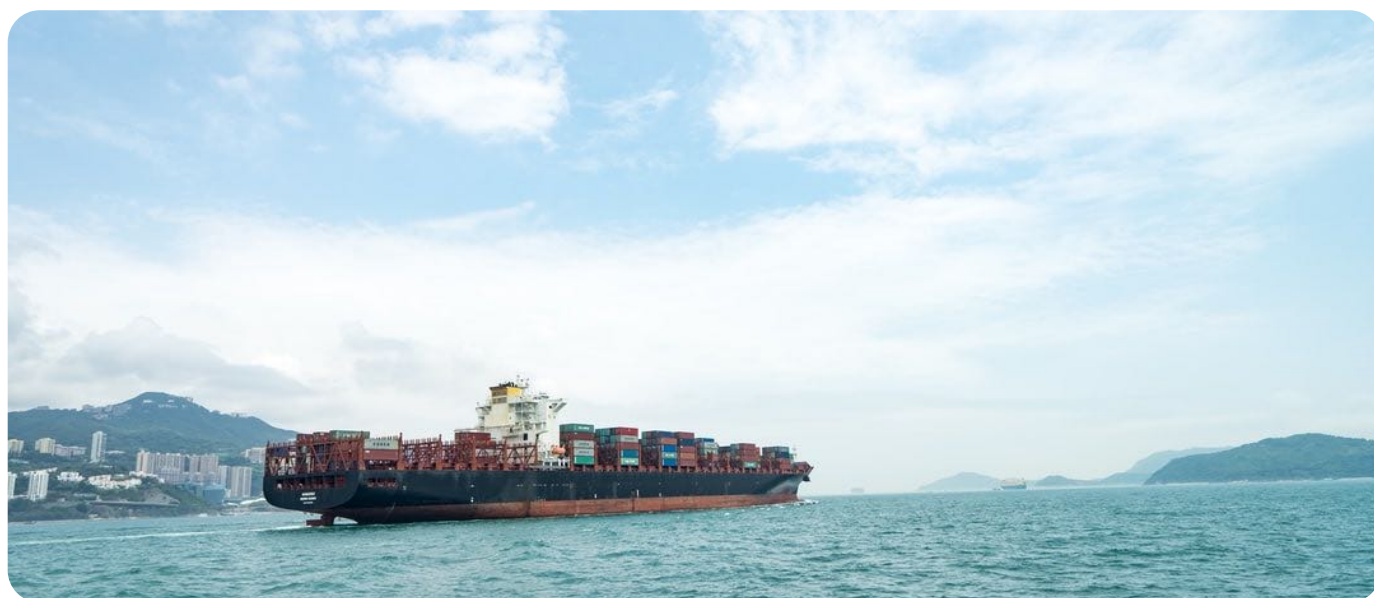
Listed below are the developments powering logistics in the country.



The dual-carriage motorway connecting Oman and Saudi Arabia across the Rub Al Khali desert saves 800 km off the 1638-km journey.

3.1 Roads, bridges, and causeways

The Vision 2030 plan places immense importance on building new road linkages connecting not only the major cities in the Kingdom but also Saudi with other neighboring countries. This means that the Kingdom's existing road network has undergone significant upgrades and expansions. In addition to 67,027 km of main roads and 145,132 km of rural roads paved in 2018, 1720 km of new roads, 50 km of the new motorway carriage, and repairs across 231 km of roads were undertaken.



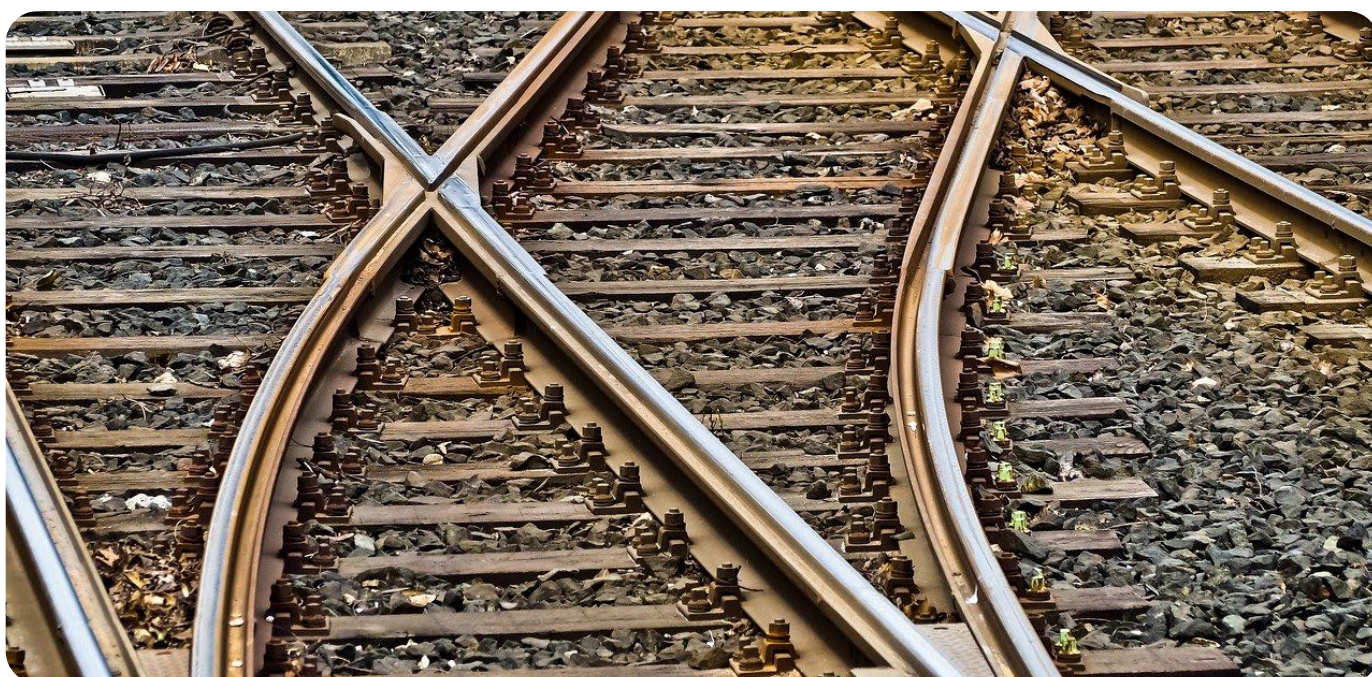
Moreover, a dual-carriage motorway connecting Oman and Saudi Arabia across the Rub Al Khali desert opened at the end of 2019 to the public now saves 800 km off the 1638-km journey. Before the road opened, goods traded between Oman and Saudi Arabia were shipped through the Strait of Hormuz into ports located on the Kingdom's eastern coast. These road networks are opening strategic routes, overcoming significant topographical challenges to connect logistics networks more easily. Plans are also underway to develop a mega 7-to 9km bridge connecting the Saudi coastal city of Tabuk with Egypt's the Sinai Peninsula and the resort town Sharm El Sheikh. Opening trade routes into Africa, including an overland route to Cairo and Alexandria that would bypass the Suez Canal, this bridge will help open up more than USD 200bn in annual trade revenue.

3.2 Rail networks

The Kingdom's rail network has made major strides in recent years, opening up new passenger stations and lines for residents and pilgrims, while also moving a ton of freight off the road and onto the track. As a part of the Vision 2030 plan, the whole railway industry in Saudi has undergone restructuring. Now consolidated under the Saudi Railway Company (SAR), huge investments have been undertaken to grow the country's rail infrastructure. The previously laid 450km network has grown to more than 5000km in length and has been expanded to cover the central, eastern, and western parts of Saudi. Plans include the addition of a line between Ras Al Khair and Dammam that will connect the North-South railway line with the existing Riyadh-Dammam line.

In addition to providing increased accessibility to the Kingdom's seaports, the added network ensures that the petrochemicals industry in Jubail is properly served via rail.

Similarly, the 950km Saudi Landbridge project is slated to transform the local logistics sector by strengthening regional integration and trade in the GCC through an east-west corridor that connects the Red Sea with the Saudi Arabian Gulf.



**Saudi ports at a glance 9 ports 232 berths 13.7m containers
handling capacity 630m tons of cargo handled 20,000
to 25,000 ships**

3.3 Port developments

The Saudi ports network consists of nine ports (six commercial and three industrial), 232 berths, and a collective container handling capacity of 13.7million a year. One of the jewels in Saudi's Vision 2030 infrastructural and logistical plans is the new King Abdullah Port. With boosted container-handling capabilities, the port ranks as Saudi's third-largest import destination and one of the fastest-growing ports in the world. What's more, in a strategic move that builds on Saudi's logistics strengths, in January 2020, the Saudi Ports Authority (SPA) awarded two contracts that manage and develop Jeddah Islamic Port's (JIP) north and south container terminals to expand capacities and modernize infrastructure to cater for ultra-large container carriers.

3.4 Air networks and freight

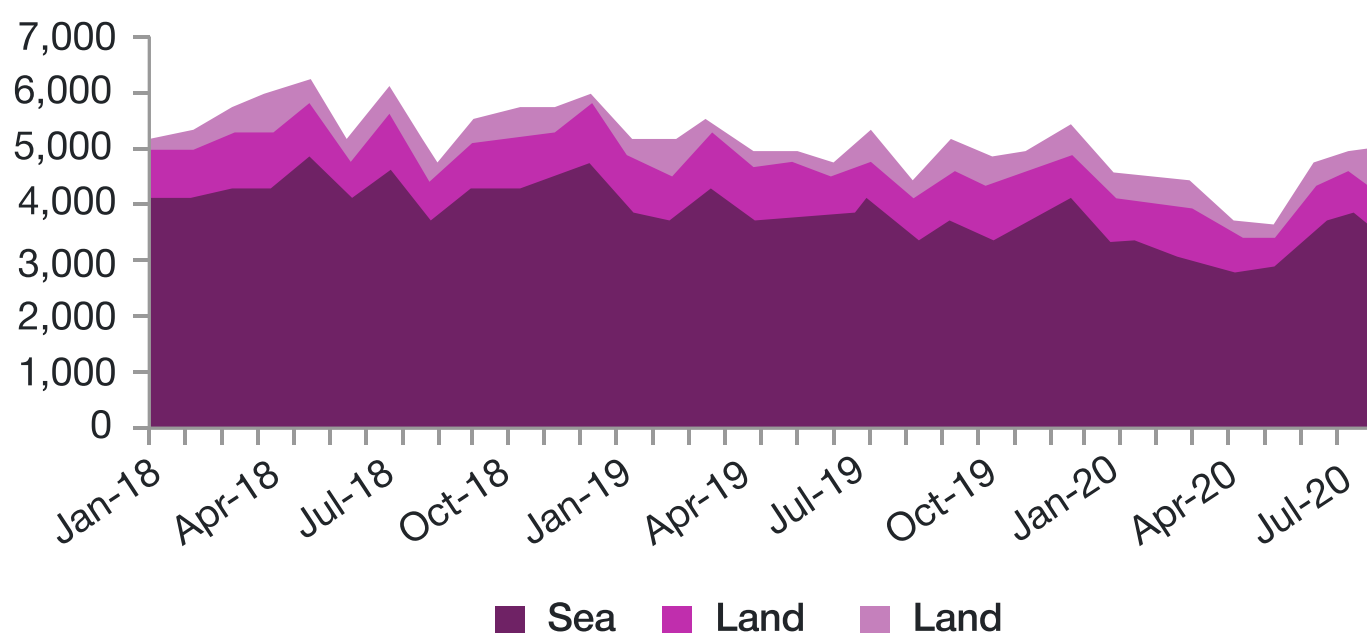
With 27 airports (six international, eight regional, and 13 domestic facilities), Saudi Arabia has aggressive plans to use its air networks to attract tourists to the country as well as stake out a regional share in global traffic. With its new expansions, the King Abdul Aziz International Airport (KAIA) will be helping increase Hajj and Umrah pilgrims to 30 million by 2030. In addition to transporting passengers, the air network is also playing an important role in the movement of goods. Riyadh Airports' Cargo Village at King Khalid International Airport (KKIA) is increasing the efficiency of air cargo traffic in the Kingdom since it opened last year by functioning as a state-of-the-art logistical platform.

4. Building a logistics competitive advantage through new regulations

According to the World Bank's Doing Business 2020 report, Saudi Arabia has earned a spot in the top-10 most improved global business climates in 2019. This is because a series of reforms and digital transformation initiatives across the country—particularly across logistics—are improving the speed and ease of transport of goods.

Improved customs clearance procedures have reduced the number of documents required for imported and exported goods. 95% of customs declarations are now submitted electronically.

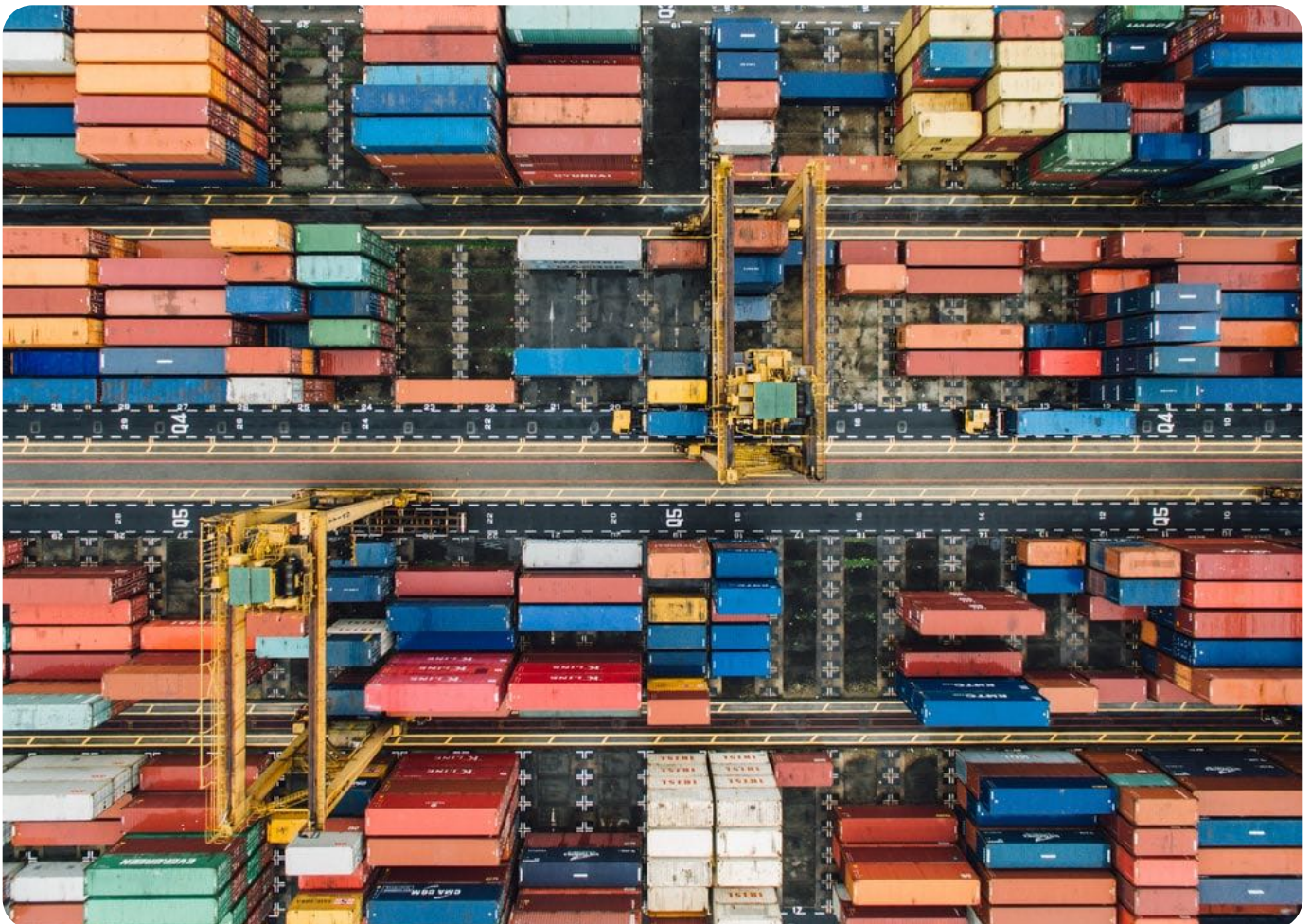
Value of Non-Oil Exports from Saudi Arabia (USD Million)



4.1 Improved customs processes

By heavily incorporating digitalization within its logistics functions, ports within the Kingdom can now speed up import/ export processes. On the import side, many procedures can be completed before a ship arrives, where shipping agents can upload manifest documents 72 hours before arrival. Similarly, customs brokers can file declarations while ships are still at sea. These documents can be easily examined and approved by authorities within 48 hours before the vessel docks at the port.

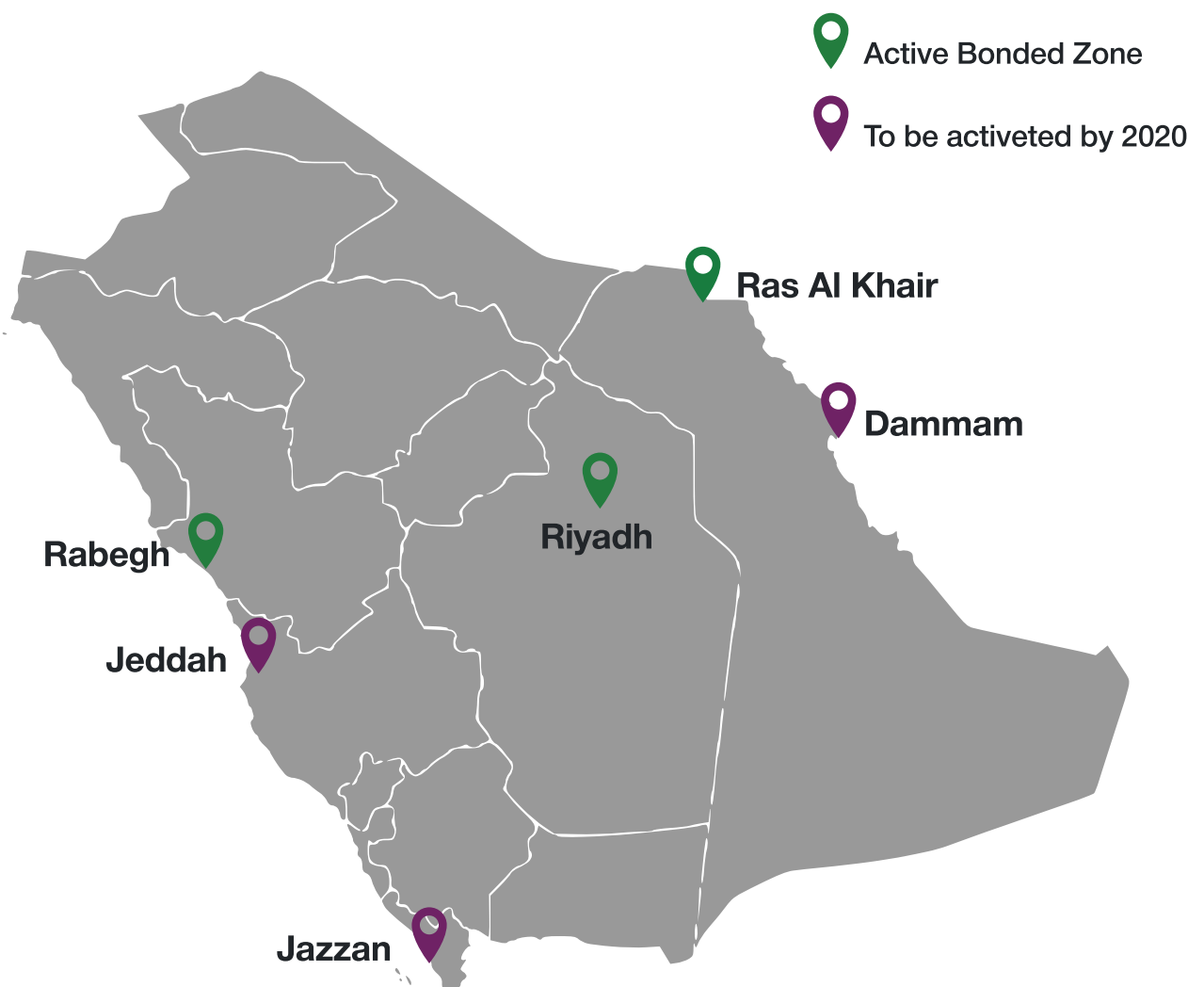
Previously, the import and export of goods required multiple documents with added time for inspection and clearance. Under the new system, the process has been streamlined through increased digitalization and reduced procedural red tape—helping speed up the paperwork. Now, almost 80% of all imported goods can clear customs within 24 hours.



4.2 Reduced handling fees

The port logistics sector is also benefitting from cost reductions. This includes lowered container handling fees, slashed original tariff rates for empty containers, and an overall decrease in the total cost for exporters by 53%. In addition to servicing routes across the world, a reduction in handling fees is incentivizing more international corporations to set up a direct presence in the Kingdom for easier management of global supply chains.

Bonded Zone Spread Across Saudi Arabia.



Source: Saudi Customs Authority.

4.3 Bonded zones

In late 2019, Saudi Arabia announced the launch of the Al Khomra Logistics Zone just south of Jeddah Islamic Port. With the one million sq meter area, Al Khomra offers investors a chance to provide primary and secondary manufacturing facilities, storage, and cooling facilities to clients. As one of the Kingdom's three bonded zones and re-export territories, these dedicated areas are helping manufacturing and logistics operators benefit from special customs regulatory schemes.

As of March 2020, an estimated USD 750m had been allocated to the King Abdulaziz Port in Dammam and over USD 70m to the Red Sea Gateway Terminal in Jeddah to raise logistics infrastructure. In addition to handling trans-shipment containers, these sites are helping businesses provide labeling, packaging, and branding services to clients. They also allow local goods to be handled for export without a declared final destination and permit foreign investors to store goods without the need for commercial registration. As plans for a third facility to open at King Abdullah Economic City in Rabigh (some 160 km north of Jeddah) are announced, these bonded corridors are facilitating the easier movement of goods between air, sea, and land transit hubs.

4.4 Digitalized Saber system

The Saudi Standards, Metrology and Quality Organization (SASO) responsible for maintaining the guidelines for imported consumer goods has speeded up the registration, certification, and shipment of products to Saudi Arabia by introducing an online accreditation and conformity assessment system. The Saber system can be used by importers within the country to make certification processes much quicker and is helping reduce the bottlenecks that impede streamlined logistics.

The single-window system integrates over 25 entities involved in the import-export process.

4.5 Fasah

Like the Saber system, Fasah is a single-window electronic data interchange platform that supports clearance by integrating more than 25 entities in the import-export process. This includes Customs, the Saudi Ports Authority, the General Authority of Civil Aviation, and SASO, among others. The online system can be used by importers and exporters, shipping agents, port operators, clearing agents or brokers, as well as the public sector. Fasah services include manifest submissions, declaration creations and submissions, a single-payment portal, and the Masar GPS tracking system, which allows cargo and container shipments to be tracked in real-time as they pass government checkpoints.



5. Planning for the future

Under Vision 2030, the logistics components in Saudi are focusing on creating export platforms, developing regional distribution, and establishing an efficient internal logistics network that enables industries and their supply chains. This means that the Ministry of Transport (MoT) has a mandate to create new logistics hubs and enhance existing logistics facilities so that the country can develop trade and transport networks. The overarching target is to increase the value of Saudi Arabia's annual exports to SR1trn (USD 266.6bn) by 2030 and optimize the Kingdom's strategic location at the crossroads of global trade.

5.1 Privatization push

One of the ways Saudi is achieving its targets is through increased private sector involvement in transport and logistics. While the sector is large and strongly supported by state-led investment in rail, maritime, road, airport, and logistics infrastructure, economic growth away from oil, population maturation, rapid urbanization, and the impact of the COVID-19 pandemic are factors driving Saudi's government to encourage more private participation. This means that we can anticipate more projects in the future that are led by global logistics companies via public-private partnerships (PPPs). This includes investments in urban transport systems such as metros and buses, as well as inter-urban networks such as freight and high-speed railways.

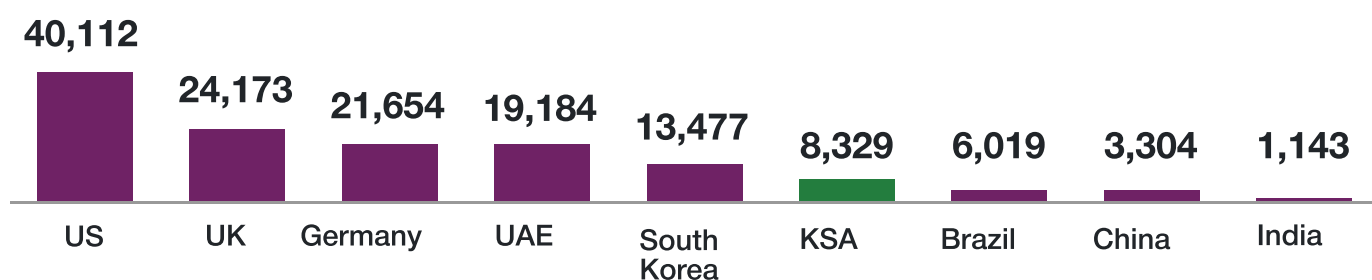
The target is for private sector companies to be involved in the development and operation of at least 5% of roads, 50% of railroads, and 70% of ports.

Private entities are being encouraged to collaborate with the government as it develops the Kingdom's transportation infrastructure. Partnerships for operating seaports, airports and their related supply chains are in demand. PPPs are being pursued to fund several key schemes, while some of the country's publicly operated transportation facilities are being prepared for full privatization. Going forward, the target is for private sector companies to be involved in the development and operation of at least 5% of roads, 50% of railroads, and 70% of ports.

E-commerce Fundamentals

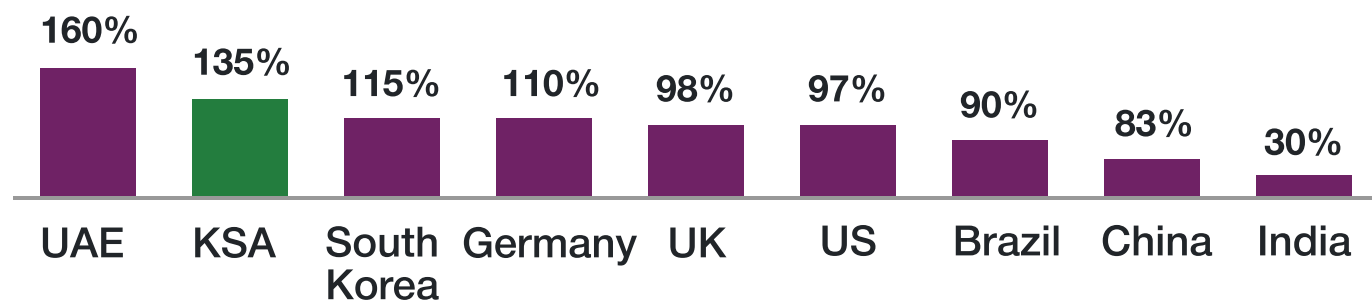
Private consumption per capita

(\$, 2017)



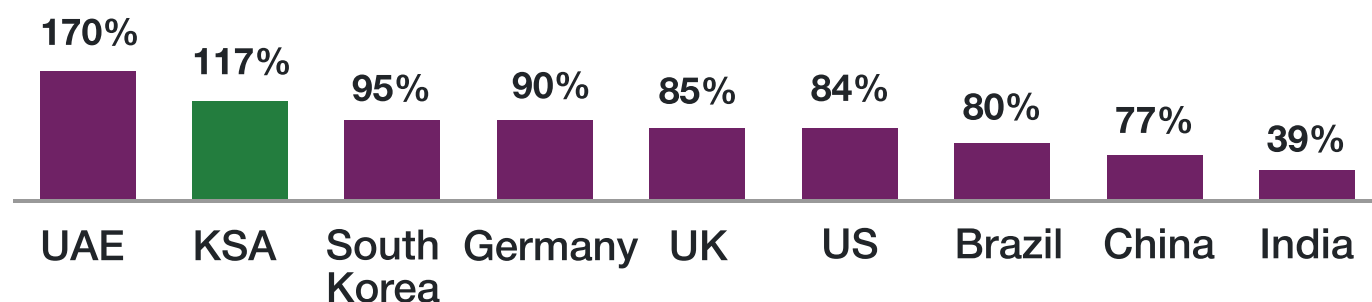
MBB penetration

(\$, 2017)



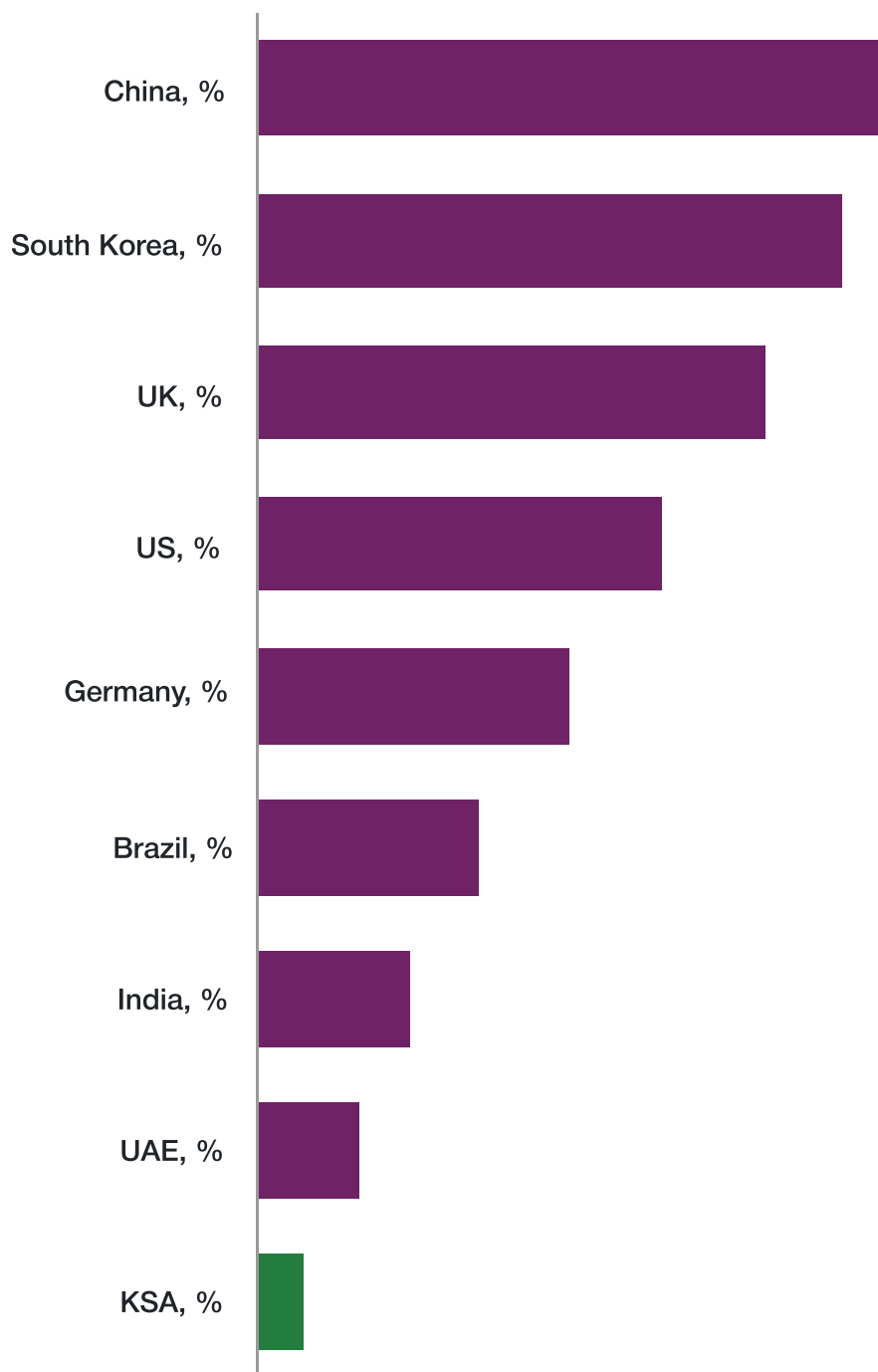
Smartphone penetration

(\$, 2017)



Online Retail Penetration

(\$, 2017)



5.2 Benefitting from a COVID-19 created e-commerce boom

There's no doubt that the global pandemic sparked an e-commerce boom in 2020. Another key advantage of Saudi's logistical network is the country's strategic geographical position at the crossroads of European, Asian, and American trade routes. Not only is the domestic Saudi e-com market increasingly lucrative, for example, for companies like Amazon (which already have a base at JIP) to easily deliver within the Kingdom, but the country is also a strategic hub that can help global e-commerce businesses expand into new markets.

With key road arteries being built near logistics hubs (especially in south Jeddah), both local and international companies can easily cover the entire south of the Kingdom in around six hours, helping them quickly and conveniently complete orders.

With customers demanding faster delivery than ever before, Saudi's logistics hubs within the country are well placed to utilize their locations. There is hope that public-private partnerships will not only help finance the infrastructure within the Kingdom but will also help bring capabilities from the top logistics markets to help build Saudi as one of the leading logistic territories in the region.

SBT is a leading premier transportation, warehousing, and logistics solutions company operating in Saudi Arabia for more than forty years.

Developing, managing, and operating tailor-made integrated solutions across all elements of the supply chain, SBT and its subsidiaries Senddex, Storex, and Logistex provide storage space, warehousing, and end-to-end distribution logistics services over land and sea.